LOUISIANA PUBLIC SERVICE COMMISSION

ORDER NUMBER U-36697 (CORRECTED)[1]

ENTERGY LOUISIANA, LLC, EX PARTE.

Docket No. U-36697, In re: Application for approval of an alternative market-based mechanism process seeking to secure up to 3,000 MW of solar resources, including certification of those resources, expansion of the Geaux Green Option Rider, and approval of a new renewable tariff.

(Decided at the May 22, 2024 Business and Executive Session.)

ORDER

I. OVERVIEW AND PROCEDURAL HISTORY

On March 13, 2023, Entergy Louisiana, LLC, ("ELL" or the "Company") filed an application for approval of an alternative market-based mechanism process seeking to secure up to 3,000 MW of solar resources, including certification of those resources, expansion of the Geaux Green Option Rider, and approval of a new renewable tariff ("Application"). Notice of the ELL's Application was published in the Commission's Official Bulletin No. 1293 dated March 17, 2023, with a 15-day intervention. This matter was republished in the Commission's Official Bulletin No. 1300 dated June 23, 2023, with a 15-day intervention period to resolve a remaining notice issue. Alliance for Affordable Energy ("AAE"), Louisiana Energy Users Group ("LEUG"), CLECO Power, LLC., ("CLECO"), Southern Renewable Energy Association ("SREA"), Pointe Coupee Electric Membership Corporation ("PCE"), Association of Louisiana Electric Cooperative, Inc., ("ALEC"), Southwestern Louisiana Electric Membership Corporation ("SLEMCO"), Walmart, Inc., ("Walmart"), and Occidental Chemical Corporation ("OxyChem") (Collectively "Intervenors") all intervened timely.

On May 16, 2024, the Parties participated in an initial status conference before Administrative Law Judge Joy Guillot at which a procedural schedule was set. On October 12, 2023, in accordance with the procedural schedule, SREA filed Direct Testimony of Priya Barua. On October 13, 2023, LEUG filed the Direct Testimony of Maurice Brubaker, CLECO filed Direct Testimony of Andrew Price, Walmart filed Direct Testimony and Exhibits of Lisa V. Perry, and Staff filed Direct Testimony of R. Lane Sisung on behalf of LPSC Staff. On November 17, 2023, SREA filed Cross-Answering testimony and Staff filed Cross-Answering Testimony of R. Lane

[1] A corrected version of Order No. U-36697 is being issued to correct the removal of the phrase "and the Breakeven Parameters and is approved under the process outlined in Paragraph 14, execution of such transactions would be prudent and in the public interest. ELL will also have an ongoing obligation to prudently manage each transaction" from 12(g) of the Uncontested Stipulated Settlement. No further revisions were made.

Sisung. On January 19, 2024, ELL filed the Rebuttal Testimony of Elizabeth C. Ingram and Daniel Boratko.

After extensive negotiations, ELL, the Intervenors, and Staff were able to reach an Uncontested Stipulated Settlement. On May 15, 2024, the Parties filed *Motion for Consideration of Uncontested Stipulated Settlement Term Sheet Pursuant to Rules 6, 51, and 57* ("Settlement Motion").

II. COMMISSION AUTHORITY

The Commission exercises jurisdiction over public utilities and common carriers in Louisiana pursuant Article IV, Section 21 (B) of the Louisiana Constitution, which states:

> "The commission shall regulate all common carriers and public utilities and have such other regulatory authority as provided by law. It shall adopt and enforce reasonable rules, regulations and procedures necessary for the discharge of its duties, and shall have other powers and perform other duties as provided by law."

III. UNCONTESTED STIPULATED SETTLEMENT

On May 15, 2024, ELL, the Parties filed the Settlement Motion, which contained the Confidential breakeven parameters, the fully executed Uncontested Settlement term sheet, as well as the draft tariff of the new Geaux Zero Rider. The terms of the Uncontested Stipulated Settlement are:

1. The Company's alternative market-based mechanism proposed in its Application in this docket as modified by this Term Sheet is in the public interest and, therefore, is consistent with the Market-Based Mechanisms ("MBM") Order.
2. The Company has demonstrated a need for additional resources, which can be partially supplied by up to 3,000 megawatts ("MW") of additional nameplate solar resources proposed by the Company in this docket ("the 3 GW Solar Portfolio"), and, if procured within the approved breakeven parameters that are set forth in HSPM Attachment 1[2] to this Term Sheet ("Breakeven Parameters") pursuant to any order issued in this docket, and, if certified by the Commission pursuant to the steps provided in Paragraph 14 below, such solar resources serve the public convenience and necessity, are in the public interest, and are therefore prudent, in accordance with the Commission's 1983 General Order, provided, however, that nothing

[2] HSPM Attachment 1 was provided to qualified Reviewing Representatives of the parties, subject to the terms of the Confidentiality Agreement in this docket. It was filed as a confidential Attachment as a part of the *Motion for Consideration of Uncontested Stipulated Settlement Term Sheet Pursuant to Rules 6, 51, and 57* on May 15, 2024.

herein requires the Commission to grant certification approval if proposed resources do not have full subscription interest at the time of the certification filing by the Company described in Paragraph 14(a)[3].

3. The proposals made by the Company in this docket have complied with, or are not in conflict with, the provisions of all relevant LPSC Orders, to the extent applicable.

4. Up to 1,000 MW from the 3 GW Solar Portfolio that will be procured pursuant to any order issued in this docket are eligible for inclusion in the Rider GGO resource portfolio or the Company's new Geaux Green Limited ("Rider GGL") resource portfolio, as described herein[4]. The Company will follow the steps prescribed in LPSC Order No. U-36190 to add more resources to the Rider GGO portfolio.

5. Up to 500 MW from the 3 GW Solar Portfolio that will be procured pursuant to any order issued in this docket are eligible for inclusion in the Company's Rider GGL resource portfolio. Within thirty (30) days of the Commission's adoption of an order accepting the settlement set forth in this Term Sheet, the Company shall submit a tariff filing seeking approval of this new Rider GGL pursuant to Section 501(C) of the Tariff Filings General Order (Order No. R-34738). Once approved, the Company will follow the steps prescribed in Paragraph 14 below to add resources to the Rider GGL portfolio.

6. Subject to Paragraph 19, up to 2,000 MW from the 3 GW Solar Portfolio that will be procured pursuant to any order issued in this docket are eligible for inclusion in the Company's new Geaux ZERO Rider ("Rider GZ") resource portfolio. The Company will follow the steps prescribed in Paragraph 14 below to add resources to the Rider GZ portfolio. To the extent there are solar resources procured pursuant to an order issued in this docket but which are unsubscribed two years after the Commission's adoption of an order accepting the settlement set forth in this Term Sheet, ELL shall allocate such resources to Rider GGO.

7. The costs associated with the 3 GW Solar Portfolio are eligible for recovery through mechanisms in place at the time that the respective resources are placed into service.

8. In accordance with LPSC Order No. U-36190 and any order issued in this proceeding or any proceeding initiated in connection with Rider GGL, for the portion of the solar resources that

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[3] For resources allocated to the Company's Geaux Green Option Rider ("Rider GGO") resource portfolio, ELL will provide the GGO reservation list at the time of the confidential filing described in Paragraph 14(a) to demonstrate interest in those MW.

[4] The 1,000 MW referenced in this Paragraph 4 includes the MWs allocated to Rider GGL referenced in Paragraph 5, but does not include any MWs allocated to Rider GGO pursuant to the final sentence of Paragraph 6.

are ultimately included in Riders GZ, GGO and/or GGL, (i) 75% of costs associated with the resources acquired through purchased power agreements ("PPAs") that have Network Resource Interconnection Status ("NRIS") or Network Integrated Transmission Service ("NITS") through the Midcontinent Independent System Operator, Inc. ("MISO"); 100% of costs associated with the resources acquired through PPAs that do not have NRIS or NITS through MISO; a portion (as determined by the GGO Cost Allocation Ratio approved in LPSC Order No. U-36190, the GZ Cost Allocation Ratio as defined in Paragraph 9 below, and the GGL Cost Allocation Ratio as defined in Paragraph 10 below, as applicable) of the subscription fees generated through Riders GGO, GZ, and/or GGL; all MISO energy revenues for the resources included within Riders GGO, GZ, and/or GGL; and the energy-related bill credits for Riders GGO, GZ, and/or GGL are deemed eligible for inclusion in and recovery via the Company's Fuel Adjustment Clause ("FAC"); and (ii) with respect to the estimated revenue requirements of owned solar resources, 25% of the costs associated with resources acquired through PPAs that have NRIS or NITS through MISO; a portion (as determined by the GGO Cost Allocation Ratio approved in LPSC Order No. U-36190, the GZ Cost Allocation Ratio as defined in Paragraph 9 below, and the GGL Cost Allocation Ratio as defined in Paragraph 10 below, as applicable) of the subscription fees generated through Riders GGO, GZ, and/or GGL; and the capacity-related bill credits for Rider GZ are deemed eligible for recovery in accordance with the terms of the Company's Formula Rate Plan ("FRP") that is in place at the time the facilities are placed into service; in the alternative, if ELL does not have an FRP in place at the time the solar facilities are placed in service, ELL is authorized to defer the applicable revenue requirements of the owned resources; 25% of the costs associated with resources acquired through PPAs that have NRIS or NITS through MISO; a portion (net of Riders GGO and/or GZ and/or GGL revenues – allocated in accordance with the GGO Cost Allocation Ratio, the GZ Cost Allocation Ratio as defined in Paragraph 9 below, and the GGL Cost Allocation Ratio as defined in Paragraph 10 below, as applicable) of the subscription fees generated through Riders GGO, GZ, and/or GGL; and the capacity-related bill credits for Rider GZ; and establish a regulatory asset, including carrying costs at the then-effective weighted average cost of capital, until those costs can be reflected in rates

9. The GZ Cost Allocation Ratio will be determined for each calendar year based upon (i) the number of available subscriptions (in terms of kW-month) created by owned resources that will be operational in the upcoming year and included in the overall GZ resource portfolio and (ii) 25% of available subscriptions (in terms of kW-month) associated with the PPAs that have NRIS or NITS through MISO that will be operational in the upcoming year and included in the overall GZ resource portfolio. To calculate the GZ Cost Allocation Ratio, the sum of 9(i) and 9(ii) above shall be divided by the number of total available subscriptions (in terms of kW-month) available from the entire GZ Portfolio for that year. The GZ Cost Allocation Ratio times the total GZ revenues (from both Option A and Option B) in that calendar year will offset the costs that customers would otherwise incur for the 3 GW Solar Portfolio through the FRP, and the remaining GZ revenues in that calendar year will offset the costs that customers would otherwise incur for the 3 GW Solar Portfolio through the FAC[5].

10. The GGL Cost Allocation Ratio will be determined for each calendar year based upon (i) the number of available subscriptions (in terms of kW-month) created by owned resources that will be operational in the upcoming year and included in the overall GGL resource portfolio and (ii) 25% of available subscriptions (in terms of kW-month) associated with the PPAs that have NRIS or NITS through MISO that will be operational in the upcoming year and included in the overall GGL resource portfolio. To calculate the GGL Cost Allocation Ratio, the sum of 10(i) and 10(ii) above shall be divided by the number of total available subscriptions (in terms of kW-month) available from the entire GGL Portfolio for. that year. The GGL Cost Allocation Ratio times the total GGL revenues in that calendar year will offset the costs that customers would otherwise incur for the 3 GW Solar Portfolio through the FRP, and the remaining GGL revenues in that calendar year will offset the costs that customers would otherwise incur for the 3 GW Solar Portfolio through the FAC.

11. A 30-year depreciation period is appropriate for any facility that is owned by the Company and which is acquired pursuant to any order in this docket.

12. The alternative procurement process pursuant to any order in this proceeding shall include the following:

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[5] With respect to the resources in the 3 GW Solar Portfolio that will supply Rider GGO (in accordance with Paragraphs 4 and 6 herein), the GGO Cost Allocation Ratio as defined in LPSC Order No. U-36190 shall determine how GGO revenues are allocated to the Company's FRP and FAC to offset the underlying costs of such resources.

a. Following Commission approval in this docket, the process will be initiated by the Company issuing documents that provide information regarding the resources sought and the requirements for proposals, which are discussed further below. These documents will look much like the final documents in the traditional Request for Proposal ("RFP") process in that they would include information on the scope of the process, the process itself, the requirements for any proposals submitted into the process, and more specific information regarding each type of proposal that will be accepted. The documents will also include appendices such as the Model PPA and Model build-own-transfer ("BOT") agreement that were attached to the testimony of Company witness Troy Heytens.

b. The Company will accept a wide range of proposals, including PPAs, BOT agreements, and self-build options. The Company will also accept PPAs with an option to acquire ownership during the term of the PPA.

c. The process will be limited to Solar Photovoltaic ("PV") resources, with the optionality for resources to include proposals for battery energy storage technologies.

d. In addition to the restrictions regarding the transaction type and the type of resource that are discussed above, the following restrictions will also be in place:

Type of Restriction	Restriction Detail
Location	Must be directly interconnected to the Louisiana region of the MISO Transmission System
Battery Energy Storage System Option	If option is included as part of proposal, it must be AC coupled, commercially proven lithium-ion technology, with a minimum 4-hour discharge
Transmission Deliverability	Firm NRIS deliverability is preferred, but ERIS resources will be considered
Capacity	Any individual resource must have a minimum capacity of 50 MW[6]
MISO Interconnection Queue	Existing GIA, DPP-2020-Cycle 1, DPP-2021-Cycle 1[7]
Pricing	PPAs: All-in, energy-only pricing Self-Builds and BOTs: Fixed payment, including whether pricing includes federal tax incentives for the resource and including all

[6] Although there is no maximum capacity requirement, the Company notes that many solar projects currently in the MISO interconnection queue in Louisiana are generally between 100 MW and 300 MW of installed capacity.

[7] The Company has proposed that the alternative market-based mechanism potentially be utilized for a multi-year period. Given the potential length of the proposed mechanism, ELL reserves the right to include additional cycles in the event that additional DPP cycles have received a phase one study result from MISO by the time proposals are due.

	resource interconnection, transmission, and deliverability costs

e. The Company will issue documents containing the information necessary for other parties to submit proposals. The Company will then hold one bidders' conference, at which the Company will respond to questions regarding the issued documents. This bidders' conference will be recorded, with the recording posted on the alternative market-based mechanism's website. Although only one bidders' conference will be held, the Company will continue to respond to questions submitted to this website until the first date of the first period in which proposals will be accepted, with the responses being posted on the website under the Q&A tab. The proposals will then be accepted during certain, specified windows ("Procurement Windows"). Those Procurement Windows will occur on regular intervals over an expected twenty-four (24) month period, with advance notice of the timing of the windows being provided to potential bidders, similar to ELL's traditional RFP process. The earlier Procurement Windows will give preference to proposals for resources with earlier expected commercial operation dates ("CODs"), such that the proposals received during Procurement Windows towards the end of the process will be for resources that have later CODs than the proposals that are submitted into the earlier Procurement Windows. The Procurement Windows will be spaced out at approximately even intervals over the expected twenty-four (24) month period, with no limit on the amount of resources that could be submitted during any particular Procurement Window. An illustrative example of what a schedule for the process may look like is attached to the supplemental direct testimony of Laura K. Beauchamp as Exhibit LKB-4. This example shows the number of days after the issuance of the final documents that each step may take place, in comparison to the amount of time for each of the steps in the traditional RFP process in a recent docket. The purpose of holding multiple Procurement Windows for submission of proposals that are based on a sliding scale of COD applicability is to ensure that ELL is able to have resources online timely to meet customers' needs at the lowest reasonable cost.

f. After the proposals in each Procurement Window are received, they will be evaluated in accordance with the Breakeven Parameters and the viability parameters. Should the evaluations show that the proposals are within the Breakeven Parameters approved by the Commission in this proceeding and the viability parameters, the Company would move into negotiations with the bidders. If the negotiations result in definitive agreements that are still within the Breakeven Parameters approved by the Commission, and internal approvals are received, the Company then may proceed to the expedited certification process outlined in Paragraph 14 below for each Procurement Window.

g. Commission Staff will be fully briefed throughout the process and will be able to provide comments and help ensure that ELL is acting in accordance with the commitments it has made to the LPSC and the Breakeven Parameters approved by the LPSC both for the conducting of the alternative market-based mechanism and the selection of resources. ELL will involve Commission Staff in the creation of the bidder documents for the RFP. Furthermore, ELL will report to Commission Staff at three separate points in the process for each Procurement Window: first, after the proposals are received; second, after the selections of the proposals are made; and third, after the negotiations and internal approval processes occur. With this structure, Commission Staff will be apprised of the process at frequent intervals such that compliance with any order in this docket could be monitored and assured. Provided that an executed PPA, BOT, or self-build meets the viability parameters and the Breakeven Parameters and is approved under the process outlined in Paragraph 14, execution of such transactions would be prudent and in the public interest. ELL will also have an ongoing obligation to prudently manage each transaction.

h. ELL will engage an Independent Monitor to help ensure that the alternative market-based mechanism is conducted fairly and in accordance with the process approved by the LPSC.

i. While the size and in-service date of resources offered into each Procurement Window will need to be considered, the Company will allocate approximately 50% of new solar resources procured in each Procurement Window to supply Rider

GGO and Rider GGL (as set forth in Paragraph 12j) and the remaining 50% to Rider GZ, but once 1,000 MW of resources have been added to Rider GGO and/or Rider GGL in accordance with Paragraphs 4 and 5, the remaining resources from the 3 GW Solar Portfolio shall be allocated to Rider GZ, except as provided for in Paragraph 6.

j. With respect to the allocation of new solar resources procured in each Procurement Window that will supply Rider GGO and Rider GGL as per Paragraph 12i, the Company will allocate such resources first to supply Rider GGO until the Company's Rider GGO waitlist (existing as of the date of the Commission's adoption of an order accepting the settlement set forth in this Term Sheet) has been filled, and then such resources may be allocated to supply Rider GGL.

13. Any final, negotiated transactions for solar resources procured pursuant to an order in this proceeding must be consistent with the Breakeven Parameters as outlined in HSPM Attachment 1[8] to this Term Sheet. Those parameters were reached in the course of settlement discussions on a "black box" basis, such that the Parties' consent or non-opposition to this Term Sheet shall not constitute an admission or concession as to any issue raised by any party in this proceeding concerning the Breakeven Parameters, their methodology, their assumptions, or their components.

14. The certification process proposed by the Company shall be modified as follows:

    a. At the end of each Procurement Window (as defined in Paragraph 12(e) above), ELL would make a confidential HSPM filing in this docket illustrating how the viability parameters and Breakeven Parameters have or have not been adequately addressed for each resource and demonstrating the level of subscription interest in such tranche of resources[9], which resources the Company intends to add to supply Rider GGO, which resources the Company intends to add to supply Rider GGL, and which resources the Company intends to add to supply Rider GZ[10]. To the extent that the Company includes transactions that do not have subscriptions, those

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[8] HSPM Attachment 1 was provided to qualified Reviewing Representatives of the parties, subject to the terms of the Confidentiality Agreement in this docket. It was filed as a confidential Attachment as a part of the *Motion for Consideration of Uncontested Stipulated Settlement Term Sheet Pursuant to Rules 6, 51, and 57* on May 15, 2024.

[9] For resources allocated to the Rider GGO resource portfolio, ELL will provide the GGO reservation list at the time of the confidential filing described in Paragraph 14(a) to demonstrate interest in those MW.

[10] HSPM workpapers shall be provided to qualified Reviewing Representatives of the parties, subject to the terms of the Confidentiality Agreement in this docket, in electronic format with all formulae intact.

resources must be separately identified in the confidential HSPM filing and the Company must provide support for why it is seeking approval without subscriptions.

b. Within 45 days, Staff will file a recommendation into this docket supporting or protesting ELL's assertion that the viability parameters and Breakeven Parameters have been adequately addressed.

c. Intervenors in this docket whose qualifying reviewing representatives have been provided with the Breakeven Parameters in HSPM Attachment 1[11] would have 30 days from receipt of ELL's filing to file a protest, provided that such protest will be strictly limited to whether or not the Breakeven Parameters had been met. Such protest must state with specificity a reason it is believed that such Breakeven Parameters have not been met. The 30-day review period shall be concurrent with Staff's review period described in subpart b to this Paragraph 14.

d. The Commission would place the filing on the Business and Executive Session agenda for the meeting that immediately follows the conclusion of the 45-day period.

e. At that next meeting, the Commission shall solely consider whether the viability parameters and Breakeven Parameters have been met for the resources. If the Commission finds that the parameters have been met, then the resources may be certified by the Commission at that meeting. If the Commission finds that the parameters have not been met, ELL may initiate a separate docket for certification of these resources under the ordinary process contemplated by the 1983 General Order.

15. Commencing within six (6) months of the Commission's approval of the first group of resources certified pursuant to the process outlined in Paragraph 14, ELL shall file semi-annual reports in Docket No. U-36697 concerning status of the construction of facilities comprising the 3 GW Solar Portfolio, including updates on the schedule and other critical

[11] See Footnote 1.

activities related to construction of the facilities. Resource descriptions, including parish location, size, and projected in-service dates shall be publicly provided.

16. The proposed Rider GZ, attached to Motion for Consideration of Uncontested Stipulated Settlement Term Sheet Pursuant to Rules 6, 51, and 57 on May 15, 2024 as Attachment 2, with the modifications/conditions provided in this Term Sheet, is in the public interest, complies with applicable Commission Orders, including the Tariff Filings General Order (Order No. R-34738), and should therefore be approved for implementation subject to conditions set forth in the Term Sheet.

17. Within thirty (30) days of the Commission's adoption of an order accepting the settlement set forth in this Term Sheet, ELL shall submit a tariff filing pursuant to Section 501(C) of the Tariff Filings General Order (Order No. R-34738) to add the proposed new Rider GGL, attached to Motion for Consideration of Uncontested Stipulated Settlement Term Sheet Pursuant to Rules 6, 51, and 57 on May 15, 2024 as Attachment 3. The parties agree that the proposed Rider GGL is in the public interest, complies with applicable Commission Orders, including the Tariff Filings General Order (Order No. R-34738), and, upon ELL's filing with the Commission as per this Paragraph 17, should be approved for implementation subject to conditions set forth in the Term Sheet.

18. Customers taking service on industrial base rate schedules that are closed to new business are eligible to participate in Rider GZ; however, any customer exempt from Rider FRP (in accordance with Attachment A to Rider FRP) shall have a Capacity Credit Rate of $0.00 per kW-month as reflected in Attachment 2 to Motion for Consideration of Uncontested Stipulated Settlement Term Sheet Pursuant to Rules 6, 51, and 57 on May 15, 2024.

19. The allocations of Group 2 Subscriptions among qualifying Existing Customers, Expanding Customers, and New Customers that ELL proposed in its Application in this docket have been eliminated as reflected in Attachment 2 to Motion for Consideration of Uncontested Stipulated Settlement Term Sheet Pursuant to Rules 6, 51, and 57 on May 15, 2024. In keeping with the desire to support economic development and expansion efforts in Louisiana, the Company is authorized to utilize the expedited certification process, as outlined in Paragraph 14, to bring resources to New Customers and Expanding Customers (as defined in Attachment 2 to Motion for Consideration of Uncontested Stipulated Settlement Term Sheet Pursuant to Rules 6, 51, and 57 on May 15, 2024) through the addition of resources to the

Rider GZ resource portfolio, including resources that result in a Rider GZ resource portfolio that exceeds 2,000 MW. Nothing in this Term Sheet or the Commission's approval thereof shall serve to prevent ELL from seeking additional renewable resources for customers in compliance with applicable Commission orders.

20. The cap on subscriptions to Rider GGO for Other Non-residential Customers (as defined in Rider GGO) and assessed on a parent company level shall be increased to 100 MW. Within thirty (30) days after the Commission's adoption of an order accepting the settlement set forth in this Term Sheet, the Company shall submit a tariff compliance filing pursuant to Section 501(C) of the Tariff Filings General Order (Order No. R-34738) to implement this change to Rider GGO. To the extent Other Non-residential Customers (as defined in Rider GGO) would like to request a subscription to Rider GGO in excess of the previously requested cap on such subscriptions of 50 MW, the Customer may not request an increase to their GGO subscription until after the revision to Rider GGO is effective, and at a date and time to be published by ELL.

21. Rider GZ and Rider GGL (once approved) shall be added as an excluded schedule in Attachment A to the Company's FRP.

22. Subscription fee revenues from Riders GGO, GZ, and GGL shall be recorded to FERC Acct. 456 as Other Electric Revenues and reflected for ratemaking purposes in part in the FRP, and in part as a reduction to the amount recovered through the Company's FAC, allocated between these forms of recovery in accordance with the GGO Cost Allocation Ratio methodology (defined in LPSC Order No. U-36190), the GZ Cost Allocation Ratio methodology (defined in Paragraph 9 herein), or the GGL Cost Allocation Ratio methodology (defined in Paragraph 10 herein).

23. By February 28 of each year, ELL shall publicly report on certain information related to the 3 GW Solar Portfolio for the previous year ending December 31. While protecting commercially sensitive and/or confidential information of subscribers, reports shall include (i) the total number of customers subscribed for each pricing option included in each renewable tariff (Riders GGO, GZ, and/or GGL); (ii) the total number of MW subscribed for each pricing option included in each renewable tariff; (iii) the total revenues generated during the previous year for Rider GGO, Rider GZ, and Rider GGL; (iv) for each of the following customer classes defined in Rider GGO (residential, small general service, and other non-

residential customers) and separately for Rider GZ and Rider GGL, (a) the number of subscribers, (b) the average subscription size, (c) the minimum subscription size, and (d) the maximum subscription size; and (v) for each commercial and industrial subscriber (excluding the small general service customers as defined in Rider GGO), (a) the size of each subscription, and (b) the subscriber's Standard Industry Classification ("SIC"). ELL shall submit this information in the report required under LPSC General Order (Corrected) R-28271-A Subdocket B, dated December 9, 2010. To the extent there is confidential information included in the report required under LPSC General Order (Corrected) R-28271-A Subdocket B, the confidential version of that report shall be provided to appropriate Reviewing Representatives who have executed the Confidentiality Agreements in Docket R-28271-A.

24. The Commission confirms that, to the extent that ELL acts prudently in selecting responsible counterparties; in its decision-making in structuring, administering and enforcing the contracts; and in exercising its rights and remedies under the PPAs and the BOT agreements that are ultimately negotiated, ELL, and Entergy Corporation shareholders, shall not be responsible, beyond the remedies specified therein, absent imprudence on the part of ELL. Nothing in this Term Sheet is intended to limit ELL's obligation to prudently contract with counterparties, manage and enforce the terms of the 3 GW Solar Portfolio contracts, or to terminate the contracts, as necessary and allowed by their terms, to protect ratepayer interests. The Commission expressly reserves its rights to review whether ELL has prudently managed and enforced the terms, conditions, rights and remedies, and limitations of the 3 GW Solar Portfolio contracts.

25. If any of the 3 GW Solar Portfolio contracts are modified, amended, supplemented, or revised in comparison to the version filed in the confidential filing described in Paragraph 14(a) in any way that would impact the cost, economics, or delivery date of the resources in the 3 GW Solar Portfolio, the Commission's approval in Paragraph 14(e) will not extend to those modifications. If the terms of any of the 3 GW Solar Portfolio contracts are modified, amended, supplemented, or revised subsequent to the Commission's approval described in Paragraph 14(e) above, the Company agrees that it will inform the Commission, in a timely manner, not later than 30 days after any of these events, identify and describe those changes, and, to the extent that those changes increase the cost of the resources by more than five

percent (5%) of what has been previously disclosed in the Company's filing described in Paragraph 14(a) above, or if the change makes the resources uneconomic in accordance with the Breakeven Parameters defined in HSPM Attachment 1[12] to this Term Sheet, perform and provide an updated economic analysis demonstrating the economic effect of same. Nothing in this Term Sheet or the Commission's approval thereof shall be construed as constituting a pre-approval of such changes or as limiting the Commission's ability to institute a prudence review of such changes.

26. The Company acknowledges that all future operation and maintenance, as well as capital expenditures associated with the 3 GW Solar Portfolio, shall remain subject to annual FRP reviews and to FAC audits, to the extent applicable.

27. The Company shall have an ongoing duty to prudently manage and administer all of the agreements associated with 3 GW Solar Portfolio through the term of those contracts.

28. As part of its Application in this matter, ELL sought a determination that it is entitled to timely rate relief in the event it experiences adverse effects of debt imputation or lease accounting that includes the obligations under the future contracts associated with the 3 GW Solar Portfolio. Commission Staff found this request premature. However, if and at such time as ELL experiences adverse financial implications resulting from debt imputation by any of the major credit rating agencies, or the recognition of a long-term liability for the PPAs, ELL may seek rate relief. The Commission Staff, and any Intervenor in any proceeding in which ELL seeks such rate relief, reserves any rights to oppose or take any other position on such a rate relief request.

29. With respect to the issue raised by LEUG in this docket and in Docket No. U-36685 related to the appropriate subscription allocation process for proposed expansions of the GGO resource portfolio to be made available for subscription by "Other non-residential Customers" as defined in Rider GGO ("GGO Subscription Issue"), ELL and LEUG agree that (1) this Term Sheet fully resolves the GGO Subscription Issue, and LEUG will not further litigate or seek to relitigate the GGO Subscription Issue (including ELL's creating, maintaining, and using a waitlist to implement the terms of Rider GGO) in this docket or any other docket or proceeding; (2) this Term Sheet, along with a corresponding Term Sheet to be filed in Docket No. U-36685, fully resolves the sole remaining contested issue in Docket No. U-36685 - the

[12] See Footnote 1.

GGO Subscription Issue that LEUG raised; (3) LEUG will not oppose or seek to delay any proceedings required by the Commission for approval of Rider GGL; and (4) that LEUG will not oppose ELL's application in Docket No. U-37071 seeking certification of and approval for the Mondu Solar facility power purchase agreement. ELL will file a corresponding Term Sheet in Docket No. U-36685 to document and confirm that the GGO Subscription Issue raised by LEUG has been fully resolved.

30. Except as otherwise expressly stated herein, this Term Sheet shall have no precedential effect in any other proceedings involving issues similar to those resolved herein and shall be without prejudice to the right of any party to take any position on any such similar issue in future proceedings, including FRP proceedings, base rate proceedings, rulemakings or in other regulatory proceedings or appeals therefrom. Other than in a proceeding to approve, implement, administer, or enforce a requirement of this Term Sheet, the Term Sheet shall not be admissible in evidence against either the Commission Staff, ELL or the Parties, and the terms of this Term Sheet may not be used as an admission of any sort in any proceeding whatsoever except to approve or enforce the terms of this Term Sheet. Nothing stated herein is intended to prohibit parties from continuing to cite to final Orders of the Commission, which Orders are the best evidence of their meaning and evidentiary or precedential value (if any).

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IV. COMMISSION CONSIDERATION

On motion of Commissioner Skrmetta, seconded by Vice Chairman Lewis, and unanimously adopted, the Commission voted to assert its original and primary jurisdiction and take the matter up pursuant to Rule 57.

After discussion, on motion of Commissioner Skrmetta, seconded by Vice Chairman Lewis, and unanimously adopted, the Commission voted to accept the Uncontested Proposed Settlement filed into the record on May 15, 2024.

IT IS THEREFORE ORDERED THAT:

1) The Uncontested Stipulated Settlement filed into the record on May 15, 2024 is accepted; and

2) This order is effective immediately.

BY ORDER OF THE COMMISSION
BATON ROUGE, LOUISIANA
June 14, 2024
Mail Date July 9, 2024

LOUISIANA PUBLIC SERVICE COMMISSION

BRANDON M. FREY
SECRETARY

DISTRICT IV
CHAIRMAN MIKE FRANCIS

DISTRICT III
VICE CHAIRMAN DAVANTE LEWIS

DISTRICT V
COMMISSIONER FOSTER L. CAMPBELL

DISTRICT I
COMMISSIONER ERIC F. SKRMETTA

DISTRICT II
COMMISSIONER CRAIG GREENE